Demand Estimation and Market Analysis: Air Fryers

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Air Fryer Market Summary

10
brands

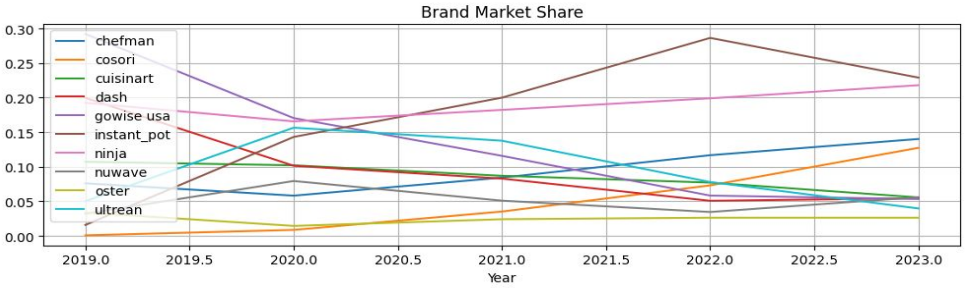
$60-$230
product price range

~4.6
avg rating[1]

Most expensive brands: Cuisinart, Oster, and Ninja

Most affordable brands: Dash, Ultrean, Chefman and Gowise USA

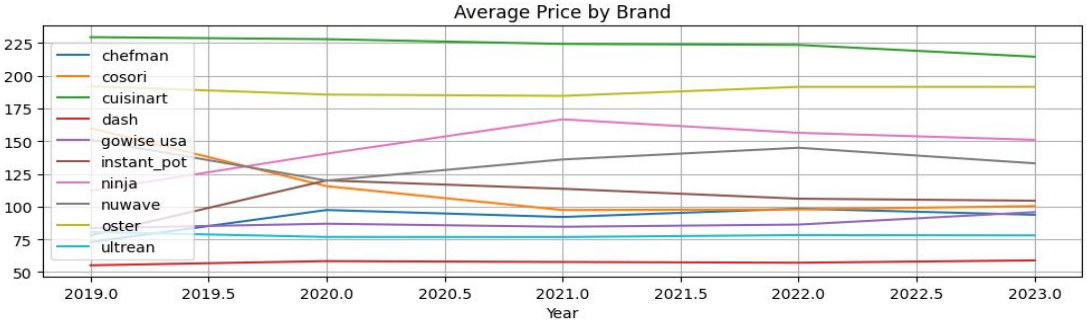
Highest market share: Instant pot, followed by Ninja

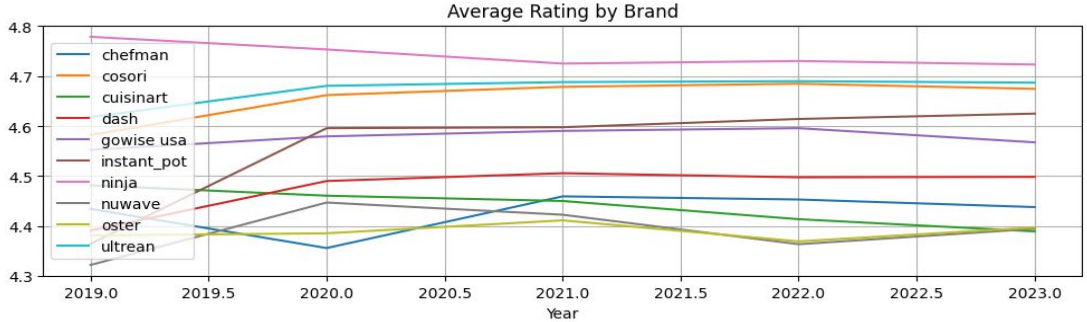


No single dominant market shareholder from 2019-2023

[1]across all brands

Prices, ratings, and market shares change over time





While ratings are high across all brands, they do not always correlate with market share, suggesting that **price and features are stronger drivers of success**

Instant Pot balances **mid-range pricing** with **high brand rating/recognition** to maintain the #1 market share

The demand model quantifies how price and features influence consumer buying habits

Price coefficient: -0.0377

The negative sign shows that as prices rise, market share falls

R squared: 0.7634

An R squared of 0.76 means the model explains 76% of the variation in market shares from changes in average price, customer ratings, and product features

Product feature coefficients: compact (9.815), window (12.88)

Window and compact features boost demand compared to other features (positive coefficient)

Window view and compact style are the most important product features to implement

Highest value product characteristics

- Window and compact have the highest demand coefficients
  - Lift demand of a product

↓

Desirable trait for consumers

Lowest value product characteristics

- Dual basket and rotisserie have negative demand coefficients
  - Lower demand of a product

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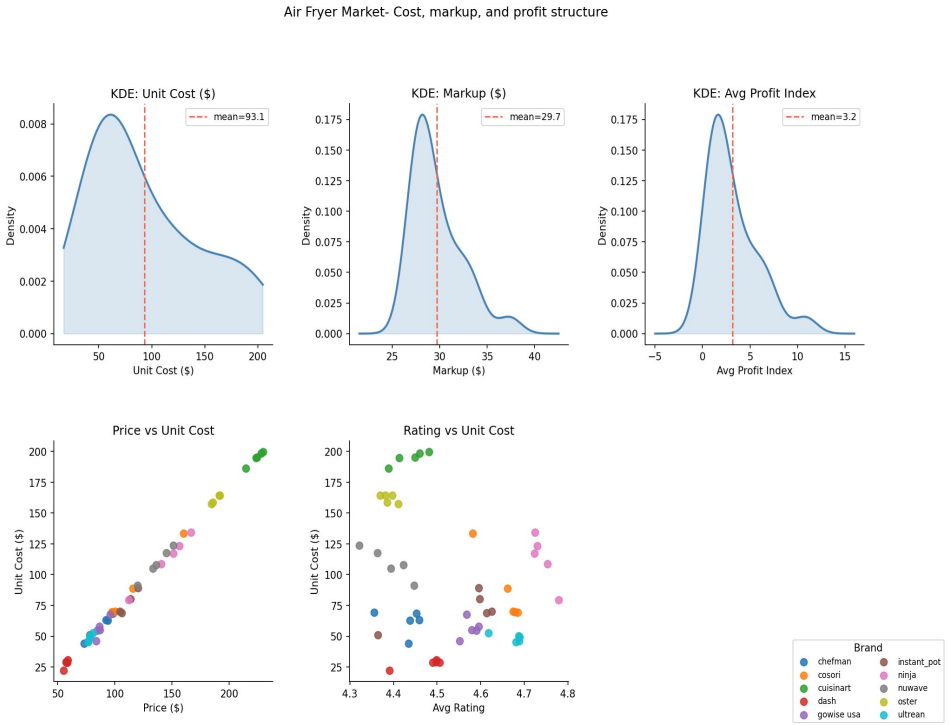
Undesirable trait for consumers

Ninja holds consistently high markups and profits, with mid-range unit costs



Breakdown of brands for each category

High unit cost

1. Cuisinart
2. Oster
3. Ninja

High average markups

1. Ninja
2. Instant Pot
3. Gowise USA

High share-weighted profits

1. Ninja
2. Instant Pot
3. Gowise USA

Conclusion: which brands look strongest, and what would you want to investigate next?

#1 Ninja

Highest profit and markup

Second largest market shareholder

#2 Instant Pot

Largest market share holder

Second highest profit and markup

Key insights

The most successful brands focus on **window features and compact designs**, with a price point that keeps **unit costs around/under $100**

Looking ahead...

What impact does advertising have?

What new, more technologically advanced features become popular in the future?